MINUTES OF THE
CITY OF HOLLADAY
CITY COUNCIL WORK MEETING

Thursday, May 8, 2025
5:30 p.m.
City Council Chambers
4580 South 2300 East
Holladay, Utah

ATTENDANCE:

Mayor Rob Dahle
Drew Quinn
Paul Fotheringham -*excused*
Emily Gray
Ty Brewer
Matt Durham

City Staff:
Gina Chamness, City Manager
Jon Teerlink, Community Development Dir
Christian Larsen, Finance Director

I. ***Welcome*** – Mayor Dahle.
Mayor Rob Dahle called the City Council Work Meeting to order at approximately 5:30 p.m.

II. ***Discussion on Tentative Budget.***
a. Stormwater Fee Review and Discussion – Fred Philpot
Mayor Dahle introduced Fred Philpot from LRB Public Finance Advisors to the City Council and explained that he would share information about the Stormwater Fee. He explained that the City previously looked at options to address the failing storm drain infrastructure. There was a lot of data reviewed at that time and many projects were ultimately achieved using the bond money. The previous recommendation was to focus on inflationary increases every few years, but there was no justification to ask for more before it was needed. However, sales tax has now flattened out and the bond money has been spent. This seems like an appropriate time to revisit the previous discussions.

Mr. Philpot presented the Storm Financial Sustainability Plan: Updated Scenario Analysis slides to the Council. Mr. Philpot shared highlights from the previous analysis. There was an assumed $6.50 rate per equivalent residential unit ("ERU") and there has not been a change from that at this point. In the previous analysis, there was a recommended 9.5% increase each year to address the Capital Improvement Plan ("CIP") and the anticipated cost increases.

The assumptions have since been updated to include the budget actuals. Mr. Philpot reviewed some of the updated assumptions, including $1.2 million as the current estimate for CIP in the next five years. There were also some updated assumptions made to the ERU analysis. Since this was a new utility and there was no demand data, the previous analysis was conducted by looking at impervious areas. All of the non-residential parcels were mapped and there was a survey of the residential parcels. That does not necessarily correlate to the actuals, so when the utility was instituted and data was received from Rocky Mountain Power, the impervious area did not translate into the number of ERUs anticipated. The analysis saw almost 4,000 commercial ERUs while the reality was approximately 2,300. He suggested refining the non-residential ERU base and moving forward with this process.

Additional discussions were had about the ERU counts and what can be done in the future. It is possible to check all of the accounts, match them with parcels, and see if any parcels are not being assessed. Three scenarios were presented to the City Council for consideration:

Mr. Philpot shared information about the baseline scenario. The charts in the presentation slides make it possible to understand whether the Storm Enterprise Fund is actually covering the obligations that have been assigned to it. He noted that the chart shows the coverage target is not being met. Typically, a bond document will set that at 1.25x coverage. That target was set here at 1.5x and the amount is below that. The other chart shows that not enough revenue is generated to fund the capital improvements and operations. This indicates that something needs to be done, but the question is what should be done. One of the options is a rate change, but it is also possible to reduce the level of service or to change the CIP horizon. An assumption has been made that the City wants to take action.

Scenario #2 information was shared, which is an upfront rate increase of 30% in 2027. With that upfront increase, all of the targets are met and the coverage issue is addressed. Mr. Philpot shared information about what the ERU fee would look like, which is an increase to $8.50 in 2027. Some context was provided through other communities. The Salt Lake County average is $8.00. The $8.50 amount would be above that average, but Holladay would not be the highest in the County. Different cities have taken different approaches. Some want to wait and see while others want to address issues more immediately. While this information provides an economic comparison, there are variables.

Scenario #3 shows an annual increase of 5% starting in Fiscal Year 2026. This starts to build revenue sufficiency with the debt coverage and gets closer to the target. Mr. Philpot shared information about what that would look like over time. For instance, it would be $6.83 in 2026, $7.20 in 2027, $7.60 in 2028, $8.00 in 2029, and $8.40 in 2030. If the City Council chooses this option, he would suggest $8.50 as the target point. He shared a comparison chart with other cities, which indicates that Holladay would be around average in the area. Discussions were had about the different options. Mr. Philpot explained that there are some pros and cons to consider with all of the scenarios presented. He stated that the intention is for the enterprise fund to operate on its own without receiving a subsidy. Stormwater is an area where that is murkier because there are challenges with storm infrastructure. However, most will look at this matter from a sustainability and self-sufficiency perspective. These enterprise funds should cover their obligations. That is what is attempted to be shown in the slides.

Mr. Philpot presented some next steps to the City Council. It is possible to create unlimited scenarios using the model for utility rates. Mr. Philpot noted that the Council can discuss an upfront increase versus an annual increase. Alternatively, the scenarios can be modified based on Council Member direction. Final recommendations can then be brought back. Typically, the final recommendations are presented and then there is a public hearing held. He explained that a Final Rate Study will also be prepared and asked for Council Member comments.

Mayor Dahle noted that another scenario could include a review of the ERUs in the City. That process could determine whether some are not paying the fee that should be. Effort could be put into making sure as many properties as possible are being captured. That being said, that kind of process might delay the implementation of a fee increase. Mr. Philpot confirmed that it is possible to choose a gradual increase. During that time, it would also be possible to further study the ERUs. Mayor Dahle believes that everyone should be paying their fair share. Mr. Philpot noted that if there are budget

changes, those can be reflected in the model and then shared with the City Council. He will look to City Staff to communicate any of the budget-related changes that need to be modeled.

Discussions were had about the scenarios that were presented. Mayor Dahle noted that the City Council needs to determine which option makes the most sense for the community. Mr. Philpot shared additional information about Scenario #2 and the upfront increase. There are several options that the City can consider. He shared an example situation that happened in Highland. Council Member Emily Gray asked if most cities choose a gradual increase. Mr. Philpot confirmed that a lot will choose that option, but some choose a hybrid scenario where there is some of that increase seen upfront and then there are inflationary increases after. The gradual increase can be easier to absorb, so that tends to be the preferred alternative for cities. That being said, he has seen upfront increases, hybrid approaches, and even a delayed approach. He referenced what happened in Centerville many years ago where there was a significant increase to the rate. Mr. Philpot reminded the City Council that there is a desire to receive feedback and provide additional analysis for Council consideration.

b. Overview of Budget – Gina Chamness

Finance Director, Christian Larsen, presented the Budget Overview document. He shared information about the different funds in the City. Approximately 66% of expenditures are related to the General Fund, which includes items such as the Unified Police Department ("UPD"), Unified Fire Authority ("UFA"), administration, and parks. The second largest for the Fiscal Year 2026 budget is the Stormwater Fund at 7.78%. However, he expects to see that decrease next year, because the last of the bond proceeds are being spent. There is also the Cottonwood Mall RDA, Capital Projects Fund, Grants Account, Debt Service Fund, Holladay Village RDA, and Arts Fund listed. As for Spring Lane and the remodel of City Hall, those items have been left off of the Tentative Budget at this point due to uncertainty about the Federal earmark. Once there is more clarity about that, an amendment can be made.

Mr. Larsen next reviewed the Fiscal Year 2026 All Funds Revenue Summary, which shows where most of the City revenue comes from. Approximately 60% comes from taxes, such as sales tax, property tax, and franchise tax. As for the Intergovernmental item listed, that is primarily the road funds but also includes tax increments within the RDAs. The Contributions item relates to the internal transfers made within the City as well as grants. The Charges For Service item primarily has to do with the Stormwater Fund. Mr. Larsen shared a chart that reviews the General Fund by Department. The largest line item shown there is Law Enforcement, with 34.85% of the General Fund budget. The second largest line item is for the Fire Department. He next reviewed a chart that looks at the General Fund by Expense Type.

Mr. Larsen reviewed the Personnel Costs, which shows a breakdown of the wages, benefits, and additional pay. Approximately 30% of the compensation is in the form of benefits. Almost all personnel costs are coming out of the General Fund, but some are in the Stormwater and Arts Fund.

Mr. Larsen stated that approximately 89% of the expenditures are for Staff and 10% are for elected officials. Some of the major personnel changes were reviewed, including a 3% cost of living adjustment ("COLA"). This represents an increase of $72,559.

Other Major Expense Changes were reviewed. Mr. Larsen explained that there will be discussions about UPD and UFA at the City Council Meeting on May 15, 2025. There is also a $90,513 increase

to the Public Works contract, which is a 3% increase. A portion of that was not included in the Tentative Budget document, as there was a recent meeting with Salt Lake County about the number. What is included in the Tentative Budget for Spring Lane and City Hall is the lease payment of $37,500 and the utilities payment of $35,000, and the earmark. Special Elections are listed as $75,691 and the parks playground resurface is listed as $45,000. When the Tentative Budget was created, the intention was to include the electrical work for the additional tree lighting. There is also a line item for the Central Wasatch Commission ("CWC") at $25,000 that will need to be added to the budget. The metal banners would also need to be added to the Tentative Budget document at $30,000.

c. Revenue – Gina Chamness

Mr. Larsen shared a General Fund Revenue Sources chart with the City Council. Approximately 79% of the General Fund revenue comes from taxes and approximately 9% comes from Intergovernmental. Next was Licenses and Permits, Justice Court Revenue, Other Revenue, Contributions, and Charges For Service. Mr. Larsen explained that there is a desire to have a split between property tax, sales tax, and other revenue sources. There is a fairly even split, which is positive. Mr. Larsen reviewed the Sales Tax Forecast information. It looks at the sales tax by quarter over the last few fiscal years. The blue line represents the actuals and there is a significant increase seen between 2021 and 2023. He pointed out that in 2024 and 2025, there has been a leveling off of the sales tax numbers. What is shown in the Tentative Budget is a conservative number. He next referenced the Property Tax New Growth line item, Motor Vehicle Fee-in-Lieu, and the Salt Lake County Road Funds 5th of 5th.

The Franchise Tax Enbridge line item was discussed. Mr. Larsen shared information about what was budgeted in the past, but at this point, there has been a significant falloff in the amount. There were several years where it was fairly stable, but that has since changed. This line item will bring the budget back down to be a little more conservative. As for the Building Permits line item, there is a slight increase over the prior budget. The prior year's actuals were significantly greater than the budget. Several large projects are anticipated to be completed in Fiscal Year 2026. Mr. Larsen discussed the Millcreek Reimbursement line item. Some additional officers were hired who are generating revenue in the form of tickets. There are also small adjustments listed in the document.

d. Stormwater Fund – Jared Bunch
e. Parks – Jared Bunch
f. Public Services General Fund – Jared Bunch
g. Capital Projects – Jared Bunch

Public Works Director, Jared Bunch, presented the Public Services: Parks, Engineering, and Public Works presentation . Mr. Bunch shared information about some of the employees, including the full-time employee. Most of the amount relates to the County contract, which is just over $3 million and accounts for around 74% of what is shown. The Personnel amount is at 13% while Operations and Maintenance are at 11%. Also listed are the Other Expenses and Capital Outlay.

Discussions were had about the Salt Lake County contract services and the cities that participate. Mayor Dahle asked about the snow plowing services and associated costs. He noted that there is only so much input that can be given about how the funds are spent when the County handles the services. It was noted that there is a 3% increase in the Public Works contract listed in the Tentative Budget.

Mr. Bunch noted that in the Tentative Budget, there is a Spring Lane line item for utilities and a lease payment. He shared a presentation slide related to General Fund Public Services Changes. It shows

a comparison between the current fiscal year and the next fiscal year. The Capital Projects were discussed next. There are paving projects listed for $565,000, which is a notable increase in this budget. There is $120,000 listed for vehicle replacement

On the Capital Projects list, there is $150,000 listed for Knudsen Park and there are some parking lot improvements contemplated. Mayor Dahle asked for Council feedback on the parking. He clarified that the parcel that was acquired is between The Cotton Bottom, so now that piece is owned all the way down. The thought was that the parking would be expanded in the area. Mr. Bunch stated that it is possible to look at milled paving or paving without the curb and gutter. Different options can be considered. Mayor Dahle stressed the importance of considering light pollution so it does not impact residents. Mayor Dahle asked about a contract for the design work with estimates for the full improvements. The improvements could be budgeted for and then take place during the next fiscal year.

Mayor Dahle asked for additional information about the paving projects and noted that it does not include the County contract. During the retreat, there were discussions about investing $800,000 to $900,000 per year into this kind of work. Mr. Bunch stated that it will be closer to $800,000 in the Tentative Budget. $500,000 would be the minimum amount recommended. He spoke to the Finance Director about this ahead of the meeting and it seems the Council wants to do more than the minimum. Some adjustments will need to be made to accommodate that. Mr. Larsen explained that it is possible to reduce the amount that is planned to be contributed to Fund Balance. It is also possible to use some of the Fund Balance that is in the Capital Projects Fund. Mayor Dahle feels the budget amount needs to be tied to a pavement condition index ("PCI") number. For example, if there is a desire to maintain a 72 PCI in the City, then a certain amount needs to be invested into the roads each fiscal year. Mayor Dahle believes that future City Councils will need to be somewhat strict about following that. He feels that police services, fire services, and roads should be the main priorities in the City.

Mr. Bunch next reviewed the Grants Fund. There are a number of grant-related projects listed in the packet The projects are managed by various departments. Mr. Bunch discussed the Wasatch Boulevard Bicycle Lane Improvement project. He shared information about the bicycle lane improvement work. Mr. Bunch mentioned some of the other Grants Fund projects listed, including the Historic Experience and the replacement of the bridge on Highland Drive. The construction timeline was shared. Mayor Dahle asked what the impact of the bridge work would have on movement in and out of Holladay Hills. Mr. Bunch reported that at least one lane of traffic will remain in each direction. He does not know the exact impacts on specific areas, but the Holladay Hills developers have been informed about this project. Mayor Dahle wanted to make sure there was awareness of the work planned. He shared information about some of the discussions there have been about the Holladay Hills timeline. Mr. Bunch further reviewed the Grants Fund projects, including the Trellis Columns and Skatepark, City Hall Energy Improvements, and Signal Optimization Enhancements. The Stormwater Fund information was reviewed next, which includes Capital Outlay, Contributions and Transfers, Operations and Maintenance, and Personnel. A breakdown of the Stormwater Fund was presented.

The listed items in the Stormwater Fund were reviewed. Mr. Bunch pointed out the Storm Drain Maintenance, which has been reduced slightly. The MS4 Monitoring number has also been reduced, as the inspection requirements have changed. The City Council has discussed the desire for more robust curb and gutter replacement. As a result, that line item has increased substantially from

$37,497 to $100,000. The Debt Service is also listed as well as the Rocky Mountain Power Fee. There are still a few bond projects, which are reflected in the presentation slide. Discussions were had about the administrative costs shown.

Council Member Gray asked if it is possible to establish a standard for the City to hold the stormwater needs. It was noted that there are different pipe materials and the ratings are different based on the pipe materials that are in place. However, the ratings could be used to determine which pipes need to be rehabilitated. Approximately half of the pipes are concrete and have a long lifespan. Those pipes also have low maintenance. Problems are seen more often with metal pipes, as there can be corrosion. It can cost a lot of money when new liners need to be put in, but once the pipe is lined, it should have a brand-new lifespan. Council Member Brewer pointed out that the City needs to decide whether to be proactive or reactive.

Mayor Dahle expressed support for continuing to increase the curb and gutter number. There can be a policy discussion about that in the future. There is a question about how much to spend on curb and gutter each fiscal year and whether it makes sense to incentivize participation. Mayor Dahle expressed appreciation for the work that has been done in the City already as far as curb and gutter.

Mayor Dahle thanked City Staff for sharing information about the budget and providing some clarification. He referenced the reduction in the seasonal park personnel and stated that he is in favor of keeping a part-time employee. There is a lot of seasonal park work that needs to be handled. He wants to make sure the Parks Department has enough staff to take care of all the needs. Even if there is a contract worker hired to provide the necessary assistance, something like that could be beneficial.

III. *Other Business.*

There was no additional business discussed.

IV. *Closed Session for the Purposes Described in UCA 52-4-205 and 205.*

Council Member Gray moved to go into Closed Session or the Purposes Described in UCA 52-4-205 and 205. Council Member Brewer seconded the motion. Vote on Motion: Council Member Gray-Aye; Council Member Brewer-Aye; Council Member Durham-Aye; Council Member Quinn-Aye; Mayor Dahle-Aye. The motion passed with the unanimous consent of the Council.

The Council convened in a closed session at 7:50 p.m. Those in attendance in the Closed Session included Council Members Durham, Quinn, Gray, Brewer, and Mayor Dahle.

The minutes of the Closed Session were taken and are on file as a Protected Record

Council Member Gray moved to adjourn the Closed Session. Council Member Brewer seconded the motion. The Council roll call vote was as follows: Council Members Durham, Quinn, Gray, Brewer and Mayor Dahle in favor. The motion to go out of closed session at 7:50 p.m. passed with a unanimous vote

V. *Adjourn.*

Council Member Gray moved to ADJOURN. Council Member Brewer seconded the motion. The motion passed with the unanimous consent of the Council.

The City Council Meeting adjourned at approximately 7:51 p.m.

I hereby certify that the foregoing represents a true, accurate, and complete record of the Holladay City Council Work Meeting held Thursday, May 8, 2025.

Stephanie N. Carlson, MMC Holladay City Recorder	Robert Dahle, Mayor

Minutes approved: